

# TestFlow Pricing Financial Plan

## Design Specification

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Approved

Related

PRICING.md, SALES\_TARGETS.md

### Overview

This document models unit economics, infrastructure costs, break-even thresholds, and 36-month ARR scenarios for TestFlow (Optimus Testing). It is the financial companion to the pricing strategy in PRICING.md. Numbers should be reviewed every quarter and updated when actuals become available.

**Pricing model recap:** Per-workspace flat annual fee.

- Team — ₹ 2,40,000/year
- Business — ₹ 6,00,000/year
- Enterprise — custom

No per-user or per-test metering. Annual upfront payment is the default.

### Cost Baseline — Three Phases

Costs are structured in phases keyed to customer count, not calendar time. Each phase boundary triggers a meaningful spend jump.

#### Phase 0 — Pre-revenue (current state)

| Line item          | Monthly cost | Notes                  |
|--------------------|--------------|------------------------|
| Supabase           | Free tier    | —                      |
| Vercel             | Hobby (free) | —                      |
| EAS (Expo)         | Free         | Limited builds         |
| Email              | Free         | Supabase built-in SMTP |
| Claude (dev)       | ₹ 1,700      | Pro plan               |
| Domain (amortised) | ₹ 85         | —                      |
| Sentry             | Free         | —                      |
| Total              | ~₹ 1,800/mo  | —                      |

#### Phase 1 — First through ~4 customers

Infra is upgraded on the day the first payment lands. Treat this as a one-time step-up, not a gradual ramp.

| Line item            | Monthly cost        | Notes                                            |
|----------------------|---------------------|--------------------------------------------------|
| Supabase Pro         | ₹ 2,100             | \$25/mo · 8 GB DB, 100 K MAU, daily backups      |
| Vercel Pro           | ₹ 1,700             | \$20/mo · commercial domains, more build minutes |
| EAS Production       | ₹ 8,300             | \$99/mo · unlimited builds, OTA updates          |
| Email                | ₹ 0                 | Included in Supabase Pro SMTP                    |
| Claude Max 5×        | ₹ 11,000            | \$100/mo · upgrade from Pro                      |
| Domain (amortised)   | ₹ 85                | —                                                |
| Sentry               | ₹ 0                 | Free tier                                        |
| Subtotal             | ₹ 23,185            | —                                                |
| +10% misc buffer     | ₹ 2,315             | Misc SaaS, tooling, Razorpay dashboard           |
| <b>Phase 1 total</b> | <b>~₹ 25,500/mo</b> | —                                                |

## Phase 2 — 4+ customers

Claude Max upgrade and Sentry Team are the main new drivers. Supabase stays on Pro through ~15 customers; add a compute add-on (~₹ 1,000/mo) around 10+ customers.

| Line item            | Monthly cost        | Notes                                              |
|----------------------|---------------------|----------------------------------------------------|
| Supabase Pro         | ₹ 2,100             | +₹ 1,000 compute add-on at 10+ customers           |
| Vercel Pro           | ₹ 1,700             | —                                                  |
| EAS Production       | ₹ 8,300             | —                                                  |
| Email (Resend paid)  | ₹ 1,700             | \$20/mo · when invite volume exceeds Supabase SMTP |
| Claude Max 20×       | ₹ 20,000            | \$200/mo · unlocked after 4–5 paying customers     |
| Domain               | ₹ 85                | —                                                  |
| Sentry Team          | ₹ 2,200             | \$26/mo · production error tracking                |
| Subtotal             | ₹ 36,085            | —                                                  |
| +10% misc buffer     | ₹ 3,615             | —                                                  |
| <b>Phase 2 total</b> | <b>~₹ 40,000/mo</b> | Rises to ₹ 43,000 with Supabase compute add-on     |

## Phase 3 — 15+ customers (planning horizon)

At this scale consider the Supabase Team plan (\$599/mo ≈ ₹ 50,000) for SOC 2 compliance evidence required by enterprise buyers. First support/sales hire likely needed. Budget ₹ 80,000–₹ 1,20,000/mo total opex before payroll.

## Unit Economics

### Revenue per customer

| Tier       | Annual fee   | MRR equiv.  | Cash on signing |
|------------|--------------|-------------|-----------------|
| Team       | ₹ 2,40,000   | ₹ 20,000    | ₹ 2,40,000      |
| Business   | ₹ 6,00,000   | ₹ 50,000    | ₹ 6,00,000      |
| Enterprise | ₹ 12,00,000+ | ₹ 1,00,000+ | negotiated      |

**Cash timing note:** Payments are annual upfront. A new Team customer means ₹ 2.4 L cash arrives on day 1, not ₹ 20 K/month. The “MRR equivalent” column is for ARR tracking only; it is not a cash flow figure.

### Variable COGS per customer per month (Team tier)

| Cost driver                        | Per customer/mo | Basis                                     |
|------------------------------------|-----------------|-------------------------------------------|
| Razorpay 2% fee (amortised)        | ₹ 400           | 2% × ₹ 2.4 L ÷ 12                         |
| Supabase incremental (DB, storage) | ₹ 200           | Estimated; low at this data volume        |
| Anthropic API (AI reports)         | ₹ 0             | PDF is client-side React PDF; no API call |
| Email (incremental)                | ₹ 0             | Included in flat email plan               |
| <b>Total variable COGS</b>         | <b>₹ 600</b>    | Team tier                                 |

Business and Enterprise tiers carry ~₹ 800–1,000/mo variable COGS (higher Razorpay fee on larger contracts, more storage).

### Gross margin by tier

| Tier       | MRR equiv. | Variable COGS | Gross margin |
|------------|------------|---------------|--------------|
| Team       | ₹ 20,000   | ₹ 600         | 97.0%        |
| Business   | ₹ 50,000   | ₹ 800         | 98.4%        |
| Enterprise | ₹ 1,00,000 | ₹ 1,000       | 99.0%        |

These are *contribution margins* — each additional customer’s revenue minus variable costs, before fixed costs. Fixed costs are covered in Section 4.

## Break-even & Milestone Table

All figures assume Team tier (₹ 20 K MRR equivalent) for conservatism. Mixed Business/Enterprise deals improve every number.

| Customers | MRR equiv. | Phase costs | Monthly net | Milestone            |
|-----------|------------|-------------|-------------|----------------------|
| 0         | ₹ 0        | ₹ 1,800     | –₹ 1,800    | Pre-revenue baseline |

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| Customers | MRR equiv.  | Phase costs | Monthly net | Milestone                         |
|-----------|-------------|-------------|-------------|-----------------------------------|
| 1         | ₹ 20,000    | ₹ 25,500    | −₹ 5,500    | Phase 1 step-up; net negative     |
| 2         | ₹ 40,000    | ₹ 25,500    | +₹ 14,500   | ✓ Default alive                   |
| 3         | ₹ 60,000    | ₹ 25,500    | +₹ 34,500   | Positive cash flow                |
| 5         | ₹ 1,00,000  | ₹ 40,000    | +₹ 60,000   | ✓ Ramen profitable                |
| 8         | ₹ 1,60,000  | ₹ 40,000    | +₹ 1,20,000 | Solid income                      |
| 10        | ₹ 2,00,000  | ₹ 43,000    | +₹ 1,57,000 | ✓ GST threshold (~₹ 20 L ARR)     |
| 15        | ₹ 3,00,000  | ₹ 43,000    | +₹ 2,57,000 | ₹ 36 L ARR — Year 1 goal          |
| 20        | ₹ 4,00,000  | ₹ 48,000    | +₹ 3,52,000 | Strong PMF; begin hiring plan     |
| 30        | ₹ 6,00,000  | ₹ 55,000    | +₹ 5,45,000 | ✓ First hire signal               |
| 50        | ₹ 10,00,000 | ₹ 65,000    | +₹ 9,35,000 | ₹ 1.2 Cr ARR — pre-seed territory |

**Key insight:** Break-even requires only 2 customers. The business becomes default-alive very quickly. The primary risk is sales cycle length, not unit economics.

### Three-Scenario ARR Model (36 months)

#### Scenario assumptions

|                  | Bear                                          | Base                                          | Bull                                              |
|------------------|-----------------------------------------------|-----------------------------------------------|---------------------------------------------------|
| Driver           | Long enterprise cycles; few pilot conversions | PRICING.md Year 1 goal achieved and continued | Tier 2 buyer mandates TestFlow in contractor RFQs |
| Pilot conversion | 30%                                           | 50%                                           | 70%                                               |
| New customers/mo | 0.5                                           | 1.5                                           | 3.5                                               |
| Annual churn     | 10%                                           | 5%                                            | 3%                                                |

#### ARR projection

| Month | Bear  |          | Base  |          | Bull  |           |
|-------|-------|----------|-------|----------|-------|-----------|
|       | Cust. | ARR      | Cust. | ARR      | Cust. | ARR       |
| 3     | 0     | ₹ 0      | 1     | ₹ 2.4 L  | 3     | ₹ 7.2 L   |
| 6     | 1     | ₹ 2.4 L  | 3     | ₹ 7.2 L  | 6     | ₹ 14.4 L  |
| 12    | 3     | ₹ 7.2 L  | 8     | ₹ 19.2 L | 20    | ₹ 48 L    |
| 18    | 6     | ₹ 14.4 L | 15    | ₹ 36 L   | 35    | ₹ 84 L    |
| 24    | 10    | ₹ 24 L   | 25    | ₹ 60 L   | 55    | ₹ 1.32 Cr |
| 30    | 15    | ₹ 36 L   | 38    | ₹ 91.2 L | 78    | ₹ 1.87 Cr |
| 36    | 20    | ₹ 48 L   | 50    | ₹ 1.2 Cr | 100   | ₹ 2.5 Cr  |

What moves you between scenarios

- **Bear → Base:** Converting one pilot every 6 weeks instead of every 3 months. Requires a sharper demo and a reference customer to cite.
- **Base → Bull:** A single Tier 2 enterprise (e.g. Adani, Tata Power) mandates TestFlow in contractor RFQs. One such win can add 10–20 workspaces at once. This is the asymmetric upside.

GST & Tax Notes

- **Registration threshold:** ₹ 20 L cumulative revenue in a financial year. At Team tier, this is ~10 customers ( $10 \times ₹\ 2.4\text{ L} = ₹\ 24\text{ L}$ ). Register proactively 30 days before crossing.
- **GST rate:** 18% on software/SaaS services. Invoice as ₹ 2,40,000 + ₹ 43,200 GST = ₹ 2,83,200 total. The ₹ 43,200 is collected and remitted — it is not your revenue.
- **Input tax credit (ITC):** Supabase, Vercel, and EAS are billed by US entities and carry no ITC. Claude Max billed via Anthropic US — no ITC. Treat these costs as gross.
- **Razorpay GST:** Razorpay’s 2% fee attracts 18% GST on the fee itself (effective rate: 2.36%). Adjust cost estimates upward by ~0.36% of each transaction value.

Key Metrics to Track Monthly

| Metric                  | Target                  | What it tells you                                                                                           |
|-------------------------|-------------------------|-------------------------------------------------------------------------------------------------------------|
| ARR per workspace       | $\geq ₹\ 2\text{ L}$    | Discount discipline. Below ₹ 1.4 L = stop discounting (per PRICING.md).                                     |
| Monthly burn            | vs. phase threshold     | Phase 1: ₹ 25.5 K · Phase 2: ₹ 40 K.<br>Creep above threshold without customer growth = investigate.        |
| Active pilots           | $\leq 5$ at once        | More than 5 concurrent = distraction from real sales.                                                       |
| Pilot → paid conversion | $\geq 50\%$             | Below 40% = product/onboarding problem, not a pricing problem.                                              |
| Net Revenue Retention   | $\geq 100\%$            | Track from Year 2. $\text{NRR} > 100\%$ means expansions offset churn.                                      |
| Cash in bank            | $\geq 6$ months Phase 2 | Minimum buffer: $6 \times ₹\ 40\text{ K} = ₹\ 2.4\text{ L}$ .<br>One annual signing can refill immediately. |

Financial Milestones Summary

| Milestone     | Trigger      | Action                                                 |
|---------------|--------------|--------------------------------------------------------|
| Upgrade infra | 1st payment  | Supabase Pro + Vercel Pro + EAS<br>Production same day |
| Default alive | 2nd customer | Business survives on current trajectory                |

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| Milestone             | Trigger                            | Action                                                    |
|-----------------------|------------------------------------|-----------------------------------------------------------|
| Ramen profitable      | 5th customer                       | Founder draws ₹ 60 K/mo personal income                   |
| GST registration      | ~10th customer or ₹ 20 L ARR       | File 30 days before crossing threshold                    |
| Claude Max 20×        | 4th–5th customer                   | Reinvest margin into product velocity                     |
| Sentry Team           | 4th–5th customer                   | Production monitoring for enterprise conversations        |
| First marketing spend | 8th customer                       | ₹ 20 K/mo for LinkedIn Sales Navigator + outreach tooling |
| First hire evaluation | 20–25 customers                    | Sales + onboarding; budget ₹ 80 K–₹ 1.2 L/mo              |
| Pricing review        | 12 months from first paid customer | Raise Team to ₹ 3 L/yr per PRICING.md Year 2 plan         |

### Infra Upgrade Costs (one-time on first customer)

| Item                 | One-time action                   | Recurring from that month       |
|----------------------|-----------------------------------|---------------------------------|
| Supabase             | Upgrade plan in dashboard         | ₹ 2,100/mo                      |
| Vercel               | Upgrade plan in dashboard         | ₹ 1,700/mo                      |
| EAS                  | Enable Production plan            | ₹ 8,300/mo                      |
| Claude Max 5×        | Change subscription               | ₹ 11,000/mo                     |
| Email                | Configure Supabase SMTP or Resend | ₹ 0–₹ 1,700/mo                  |
| <b>Total step-up</b> | —                                 | <b>+₹ 23,100/mo vs. Phase 0</b> |

This step-up is covered by customer 2's MRR equivalent within the same month.